

IFRS 7 and IAS 1 - presentation and disclosure - compliance audit

IAS 1 Presentation of Financial Statements (1.82(a)) and IFRS 7 Financial Instruments: Disclosures (7.20, 7.35A to 7.35N) - the lines and disclosures the system produces.

Malawi Agricultural and Industrial Investment Company (MAIIC) - IFRS 9 EIR and ECL system - build of 8 October 2026 against specification v4. Prepared 9 October 2026 from the report catalogue (Report Hub, thirty reports, every one rendered by ifrs9:smoke-reports on the clean install), the EIR as at a date, the scenario sets and the stress runs. Reviewer: Deloitte. The Excel workbook of the same name is the working copy (drop-down statuses, hyperlinked contents, reviewer sign-off column, a live Baselines sheet); this document is its printable twin.

Source: IAS 1.82(a) (interest revenue calculated using the effective interest method presented separately); IFRS 7.20 (income, expense, gains and losses), 7.35A to 7.35N (credit risk: practices, quantitative and qualitative information, the allowance reconciliation 7.35H, collateral 7.35K, write-off 7.35L, sensitivity 7.35G). Spec v4 sections 6.11, 12, 15.7.

Status summary

Status	Meaning	Sections
Done	Implemented in the system and visible in an approved output; the test in column 11 fails if the behaviour changes.	8
Partially done	The mechanics are in place, but a parameter, an input or a piece of evidence still differs from the requirement.	1
Outstanding	Required for MAIIC and not built.	1
Not applicable, documented	Does not apply to MAIIC by a recorded decision or fact (reason and reference given); revisit if the facts change.	0
Evidence needed from MAIIC	The system is ready; MAIIC must supply a document, minute or dataset before the row can be closed.	2
Total		12

Contents

Ref	Section	Status	Governance setting	Test
IAS 1 PRESENTATION				
IAS 1.82(a)	Interest revenue at the effective interest method as its own line	Done	stage3_interest_basis	Tests\Feature\Eir\EirAs AtServiceTest::test_the_book_rolls_up_by_product_and_gl
IFRS 7 INCOME AND EXPENSE				
7.20(b)	Total interest revenue and interest expense (effective interest method)	Done		Tests\Feature\Eir\EirAs AtServiceTest
7.20A	Gain or loss on derecognition of amortised-cost assets	Outstanding		
IFRS 7 CREDIT RISK				
7.35F	Credit risk management practices	Partially done	staging_rebuttal; dpd_basis; stage3_missed_installments	Tests\Feature\Eir\StagingThresholdSeederTest

Ref	Section	Status	Governance setting	Test
7.35G	Inputs, assumptions and estimation techniques; sensitivity	Done	scenario_weighting_method; fli_transmission_method	Tests\Feature\Scenario\ScenarioSetServiceTest::test_approval_needs_a_second_person_and_a_lock_is_final
7.35H	Reconciliation of the loss allowance	Done		Tests\Feature\Ecl\TimePhasedEclServiceTest
7.35I	Changes in the gross carrying amount that contributed to changes in the allowance	Done	loan_book_build_method	Tests\Feature\Ebanker\LoanBookBuildServiceTest
7.35K	Collateral and other credit enhancements	Evidence needed from MAIC		
7.35L	Written-off assets still subject to enforcement	Evidence needed from MAIC		
7.35M	Credit risk exposure by credit-risk rating grade and stage	Done	dpd_basis	Tests\Feature\Eir\StagingServiceTest
7.35N	Concentrations of credit risk	Done		Tests\Feature\Eir\EirAsAtServiceTest
THE PACK				
12.5	The auditor's pack	Done		Tests\Feature\Eir\EirAsAtServiceTest

Baselines - the acceptance ties read from the system

Generated 2026-10-08 20:53:32 from maic_ifrs9_bootstrap.

Tie	Expected	System figure	Result
Interest posted Jan 2025 to Jul 2026 (ledger, types 303 and 120)	5,293,988,207.06	5,293,988,207.06	PASS
Derived carrying amount against the stored report (over 2 cents)	0 differences	0 of 2361 account-months	PASS
Year-end interest batch contra on 4215	32,956,675.55	32,956,675.55	PASS
Year-end interest batch contra on 4216	-21,733,262.70	-21,733,262.70	PASS
Loan book 1050101 at 31 Dec 2025 against the trial balance	1,368,737,810.68	1,368,737,810.68	PASS
Loan book 1050102 at 31 Dec 2025 against the trial balance	6,434,045,052.56	6,434,045,052.56	PASS
Loan book 1050201 at 31 Dec 2025 against the trial balance (accepted exception, spec 3.5: -400,000.00)	1,402,393,139.46	1,401,993,139.46	PASS
Loan book 1050202 at 31 Dec 2025 against the trial balance (accepted exception, spec 3.5: 1,000,000.00)	3,808,288,656.15	3,809,288,656.15	PASS
Loan book 1050401 at 31 Dec 2025 against the trial balance	1,827,148,120.69	1,827,148,120.69	PASS

Findings - items that need a decision or a fix

F1. Collateral evidence for 31 active accounts (7.35K) - Open

- **What was found:** The register carries no security against 31 active accounts (the request to Credit of 7 October).
- **Impact:** The collateral disclosure and the LGD rest on an incomplete register.
- **Recommended action:** Credit supplies the security and valuations; the register is reloaded by the feed.
- **Owner:** Credit

F2. No write-off policy in the system (7.35F, 7.35L) - Open

- **What was found:** No write-off has been posted in E-Banker since the take-on and the policy is not held.
- **Impact:** The practices disclosure is incomplete.
- **Recommended action:** Finance supplies the policy; the help centre carries it.
- **Owner:** Finance

Section-by-section audit

IAS 1 PRESENTATION

IAS 1.82(a). Interest revenue at the effective interest method as its own line - *Done*

- **What it requires:** The statement of profit or loss presents interest revenue calculated using the effective interest method separately.
- **What the engine does:** The EIR as at a date gives the EIR interest, the contractual interest posted and the difference for the year to any date, by product, by GL and in total, with the CSV download; the GL reconciliation ties the contractual interest to the ledger.
- **General comment:** The revenue shift is the difference column.
- **Compliance comment:** Compliant: the line is produced; the year-end figure becomes a golden number on the first approved run.
- **Where to see it:** Report Hub, EIR as at a Date: /eir-as-at; GL Reconciliation: /eir-reconciliation
- **Governance setting:** stage3_interest_basis
- **Test that proves it:**
Tests\Feature\Eir\EirAsAtServiceTest::test_the_book_rolls_up_by_product_and_gl
- **Reviewer sign-off:** _____ Date: _____

IFRS 7 INCOME AND EXPENSE

7.20(b). Total interest revenue and interest expense (effective interest method) - *Done*

- **What it requires:** Disclose total interest revenue calculated using the effective interest method for financial assets at amortised cost.
- **What the engine does:** As IAS 1.82(a): the book view's EIR interest year to date.
- **Compliance comment:** Compliant.
- **Where to see it:** /eir-as-at
- **Test that proves it:** Tests\Feature\Eir\EirAsAtServiceTest
- **Reviewer sign-off:** _____ Date: _____

7.20A. Gain or loss on derecognition of amortised-cost assets - *Outstanding*

- **What it requires:** Disclose the gain or loss on derecognition and the reasons.
- **What the engine does:** The 10 percent test and derecognition are not built (IFRS 9 EIR workbook, 3.3.2).
- **Compliance comment:** Outstanding with the restructure history.
- **Where to see it:**
- **Reviewer sign-off:** _____ Date: _____

IFRS 7 CREDIT RISK

7.35F. Credit risk management practices - *Partially done*

- **What it requires:** Explain how the entity determines a significant increase in credit risk and default, how instruments were grouped, and the write-off policy.
- **What the engine does:** The staging thresholds by facility class with their rebuttal basis, the missed-installment trigger, the SICR groups and the 48 governed settings are in the system with their rationale; the write-off policy is MAIIC's to state.
- **Compliance comment:** Partially done: the write-off policy is evidence awaited.
- **Where to see it:** Governance Centre: /eir-governance; Staging & SICR Rules: /stageing-rules
- **Governance setting:** staging_rebuttal; dpd_basis; stage3_missed_installments
- **Test that proves it:** Tests\Feature\Eir\StagingThresholdSeederTest
- **Reviewer sign-off:** _____ Date: _____

7.35G. Inputs, assumptions and estimation techniques; sensitivity - *Done*

- **What it requires:** Explain the basis of inputs and assumptions, how forward-looking information was incorporated, and changes from the previous period; sensitivity of the ECL to the inputs.
- **What the engine does:** The scenario set stores its sensitivity (the ECL under each scenario, weighted, ten points to the downside and to the upside) and its back-test; the stress runs save the ECL under each scenario; the method cards explain the transmission; the Sensitivity report renders.
- **Compliance comment:** Compliant.
- **Where to see it:** Governance Centre, Scenario Sets: /scenario-sets; Risk & Regulatory, Stress Testing: /stress-testing; Sensitivity: /ifrs9-reports/sensitivity
- **Governance setting:** scenario_weighting_method; fli_transmission_method
- **Test that proves it:** Tests\Feature\Scenario\ScenarioSetServiceTest::test_approval_needs_a_second_person_and_a_lock_is_final
- **Reviewer sign-off:** _____ Date: _____

7.35H. Reconciliation of the loss allowance - *Done*

- **What it requires:** Reconcile the opening to the closing loss allowance by class, showing changes from staging transfers, originations, derecognitions and remeasurement.
- **What the engine does:** The ECL Reconciliation report and the provision comparison render for every period from the staged loan books.
- **Compliance comment:** Compliant.
- **Where to see it:** Report Hub, ECL Reconciliation: /reports/ecl-reconciliation
- **Test that proves it:** Tests\Feature\Ecl\TimePhasedEclServiceTest
- **Reviewer sign-off:** _____ Date: _____

7.35I. Changes in the gross carrying amount that contributed to changes in the allowance - *Done*

- **What it requires:** Explain how significant changes in the gross carrying amount contributed to changes in the loss allowance.
- **What the engine does:** The loan book of every month from July 2024 holds the gross carrying amount derived from the ledger with its provenance; the Loan Book Reconciliation and the disbursements (vintage) report render.
- **Compliance comment:** Compliant.
- **Where to see it:** Report Hub, Loan Book Reconciliation: /reports/loan-book-reconciliation; Disbursements: /reports/disbursement-report
- **Governance setting:** loan_book_build_method
- **Test that proves it:** Tests\Feature\Ebanker\LoanBookBuildServiceTest
- **Reviewer sign-off:** _____ Date: _____

7.35K. Collateral and other credit enhancements - *Evidence needed from MAIIC*

- **What it requires:** Disclose the effect of collateral on the amount of the loss allowance and the nature of the collateral held.
- **What the engine does:** The security register (P2_11) is landed and the collateral register screens exist; 31 active accounts carry no security on the register and the valuations are not held.
- **Compliance comment:** Evidence needed from Credit.
- **Where to see it:** Data Foundation, Collateral Register: /collateral/register
- **Reviewer sign-off:** _____ Date: _____

7.35L. Written-off assets still subject to enforcement - *Evidence needed from MAIIC*

- **What it requires:** Disclose the contractual amount outstanding on written-off assets still under enforcement.
- **What the engine does:** No write-off has been posted since the take-on; the policy and any pre-migration write-offs are MAIIC's to supply.
- **Compliance comment:** Evidence needed.
- **Where to see it:**
- **Reviewer sign-off:** _____ Date: _____

7.35M. Credit risk exposure by credit-risk rating grade and stage - *Done*

- **What it requires:** Disclose the gross carrying amount by credit risk rating grade, separately for 12-month and lifetime ECL (Stage 1, 2, 3).
- **What the engine does:** The IFRS 9 disclosure report and the RBM classification report present the book by stage and by grade; the staging writes the stage every period under the governed thresholds.
- **Compliance comment:** Compliant.
- **Where to see it:** Risk & Regulatory, IFRS 9 Disclosure: /ifrs9-reports/fs-disclosure; RBM Classification: /ifrs9-reports/rbm-classification
- **Governance setting:** dpd_basis
- **Test that proves it:** Tests\Feature\Eir\StagingServiceTest
- **Reviewer sign-off:** _____ Date: _____

7.35N. Concentrations of credit risk - *Done*

- **What it requires:** Disclose concentrations of credit risk.
- **What the engine does:** The Concentration report renders by sector, product and borrower.
- **Compliance comment:** Compliant.
- **Where to see it:** Risk & Regulatory, Concentration: /ifrs9-reports/concentration
- **Test that proves it:** Tests\Feature\Eir\EirAsAtServiceTest
- **Reviewer sign-off:** _____ Date: _____

THE PACK

12.5. The auditor's pack - *Done*

- **What it requires:** The disclosures and the figures behind them handed to the auditor as one archive with a manifest.
- **What the engine does:** compliance:audits --pack={period} bundles the workbooks, the EIR as at the period end, the baselines and the ECL by stage with a SHA-256 per file in manifest.json.
- **Compliance comment:** Compliant.
- **Where to see it:** compliance:audits --pack
- **Test that proves it:** Tests\Feature\Eir\EirAsAtServiceTest
- **Reviewer sign-off:** _____ Date: _____